

ITC Limited

SAMPLE / ILLUSTRATIVE
REPORT

NSE: ITC | BSE: 500875 | Sector: FMCG – Diversified | Report date: 19 September 2026

CMP	Market cap	52W High / Low	P/E (TTM)	P/B	Dividend yield	ROE	ROCE
Rs 262.30	Rs 3,28,675 Cr	Rs 426 / Rs 256	16.6x	4.5x	5.53%	29.3%	38.9%

Figures as of market close, 18 September 2026 (NSE). Source: company filings, exchange data, screener.in.

Investment summary

ITC is India's largest cigarette manufacturer and a diversified consumer staples group spanning FMCG cigarettes, FMCG other (packaged foods, personal care, stationery, safety matches), paperboards and packaging, and agri-business. The company demerged its hotels business into a separately listed entity, ITC Hotels Ltd, with effect from FY25, which is why FY25 reported profit includes a large one-off gain and is not comparable on a like-for-like basis with other years.

Strengths

- Virtually debt-free balance sheet, with borrowings a small fraction of net worth.
- High and consistent dividend payout (74.5% average payout; current yield of 5.53%).
- Strong returns on capital: 3-year average ROE of 35.2% and ROCE of 38.9% in the latest year.
- Cigarettes segment carries structurally high margins and funds investment in the FMCG-Others and agri businesses.

Watch points

- Five-year sales CAGR of under 10% reflects slow volume growth and regulatory caps on the core cigarette business.
- TTM sales and profit are down year-on-year (-3% and -1% respectively) after the hotels demerger reduced the consolidated base.
- Stock price is down roughly 36% over the past year and trades near its 5-year-low P/E band, reflecting derating rather than earnings weakness alone.
- Earnings remain exposed to excise duty and GST changes on tobacco, which is a recurring policy risk in India.

Financial performance (consolidated, Rs Cr)

	FY22	FY23	FY24	FY25*	FY26	TTM
Revenue	60,645	70,919	67,932	75,323	78,868	76,488
Operating profit	20,623	25,704	25,188	25,832	27,306	25,682
OPM %	34%	36%	37%	34%	35%	34%
Net profit	15,503	19,477	20,751	35,052	21,018	20,184
EPS (Rs)	12.37	15.44	16.39	27.77	16.51	15.84

*FY25 net profit and EPS include a large one-off gain related to the ITC Hotels demerger and are not comparable with other years on a run-rate basis.

Growth and return ratios

Metric	3-year	5-year	10-year	TTM / latest
Sales CAGR	4%	10%	7%	-3%

Metric	3-year	5-year	10-year	TTM / latest
Profit CAGR	3%	10%	8%	-1%
Stock price CAGR	-14%	3%	1%	-36% (1yr)
Return on equity	35%	32%	28%	29% (latest yr)

Balance sheet and valuation

Balance sheet (FY26, Rs Cr)	Value	Valuation snapshot	Value
Equity capital	1,253	CMP	Rs 262.30
Reserves & surplus	71,254	P/E (TTM)	16.6x
Borrowings	2,399	P/E – 10yr median	23.8x
Total assets	93,637	P/B	4.5x
Book value / share	Rs 57.9	Dividend yield	5.53%

The current P/E of 16.6x sits well below ITC's 10-year median of about 23.8x and near the lower end of its 10-year range (13.7x–107x, the upper end distorted by a low-earnings year). This reflects the market pricing in slower growth post the hotels demerger rather than a re-rating opportunity by itself.

Shareholding pattern (as of June 2026)

Holder category	% holding	1-year change
Domestic institutions (DIIs)	49.1%	+5.1 pp
Foreign institutions (FIIs)	34.2%	-6.3 pp
Public / retail	16.6%	+1.2 pp
Government	0.04%	flat

Domestic institutions have steadily increased their stake as FIIs have trimmed theirs over the past year.

Recent developments

- ITC Infotech (ITC's IT services arm) is amalgamating with Happiest Minds Technologies after acquiring a 22.1% stake, and will list on the NSE/BSE pending regulatory approval – a step toward unlocking value in the IT services business.
- The demerger of ITC Hotels Ltd (shareholders received 1 ITC Hotels share for every 10 ITC shares held) has structurally reduced consolidated revenue and profit versus pre-demerger history.
- Routine ESOP-related share allotments through 2026 have marginally increased the issued share capital.

Key risks

- Regulatory / taxation risk: any increase in excise duty, GST, or National Calamity Contingent Duty on cigarettes directly compresses the core segment's profitability.
- Illicit trade: a large unorganized and smuggled cigarette market continues to cap legal volume growth in India.
- Execution risk in newer businesses: FMCG-Others and agri operate at thinner margins than cigarettes, so their growing mix can pressure consolidated OPM over time.
- Input cost volatility in leaf tobacco, edible oils, and paper/pulp can compress margins in weaker crop years.

investment adviser. Figures are drawn from public exchange and financial-data sources believed to be reliable as of the report date but are not independently verified and may contain errors or become outdated. Past performance and current ratios are not indicative of future results. Readers should do their own research and consult a qualified, registered financial adviser before making any investment decision.